MainBank AG - Credit Processing Workflow (application to disbursement)

Synthetic demo document for the FUTURY Build Days #4 Knowledge Transfer challenge. MainBank AG, its customers and all figures are invented.

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1. Purpose and scope

This document describes the standard process for a corporate credit request at MainBank AG, from the first customer request to the disbursement of the loan. It applies to all new facilities, increases and prolongations for corporate customers served by Corporate Banking. The process is the same for every amount; only the approver changes according to the approval limits of the Credit Policy (Kreditrichtlinie) in force at the date of the decision.

Every case lives in KreditPortal. No step is complete until it is recorded there. Deadlines are counted in business days (Frankfurt am Main) from the event named in the respective step.

2. Process overview

The process has eight steps: opening of the case (form KA-01), documents per DOC-LIST, assignment of the analyst, rating, credit memo (form KV-02) with both votes, decision, contract and disbursement, and communication to the customer. Sections 3 to 10 describe one step each.

3. Step 1: Opening the case (form KA-01)

The relationship manager opens the case in KreditPortal with the credit application (form KA-01) within 2 business days of the customer request. The KA-01 contains the customer, the requested amount, purpose, term, proposed collateral, the current total exposure (Gesamtobligo) of the customer group and the expected total exposure after the request. A request received by phone or in a meeting counts from the day of that contact.

4. Step 2: Documents per DOC-LIST

The relationship manager collects the documents listed in DOC-LIST and uploads them to the case in KreditPortal. The standard DOC-LIST comprises:

- The last two annual financial statements with the auditor's report.
- Current interim figures (BWA, betriebswirtschaftliche Auswertung).
- Bank statements of the last 6 months (all banks).
- The order backlog.
- A business plan for investments above EUR 500,000.
- For project finance additionally: the cash-flow model, the EPC contract and the offtake

agreement (for solar parks the power purchase agreement, PPA).

The file is "complete" when every item of DOC-LIST is uploaded and the relationship manager has set the status "complete" in KreditPortal. All further deadlines count from that date.

5. Step 3: Assignment of the analyst

Credit Analysis assigns a credit analyst within 2 business days of a complete file. The Head of Credit Analysis assigns cases according to industry knowledge and workload. The analyst is recorded in KreditPortal and is the single point of contact for the relationship manager during the analysis.

6. Step 4: Rating

The analyst calculates the internal rating in the RatingTool (scale 1 = best to 10 = default) using the latest annual financial statements and the current interim figures. The rating result and its date are saved to the case.

7. Step 5: Credit memo (form KV-02)

The analyst prepares the credit memo (Kreditvorlage, form KV-02) within 10 business days of a complete file. The memo contains the request, the purpose, the analysis of the financial indicators against the thresholds of the Credit Policy, the collateral and its lending value, the rating, the risk notes and analyses required by the Credit Policy, the proposed conditions, and the two votes:

- The Markt vote by the relationship manager (Corporate Banking).
- The Marktfolge vote by the credit analyst (Credit Analysis).

Both votes must be entered in KreditPortal before the memo is submitted for decision. A memo with only one vote cannot be submitted.

8. Step 6: Decision

The approver is determined by the total exposure of the customer group after the new facility, as set out in the approval limits of the Credit Policy in force at the date of the decision. The decision (approval, approval with conditions, decline) is recorded in KreditPortal with the date and the name of the approver. Conditions precedent (Auszahlungsvoraussetzungen) and covenants are listed in the decision record so that Loan Operations can check them before disbursement.

9. Step 7: Contract, collateral and disbursement

Loan Operations (Kreditsachbearbeitung) prepares the loan contract and the collateral agreements on the basis of the decision record, and registers the collateral (for example the

land-register entry of a mortgage, the security transfer of machinery or vehicles, or the assignment of receivables). Disbursement is only possible when:

- The collateral is registered and the registration is documented in KreditPortal.
- All conditions precedent of the decision are met and ticked off by Loan Operations.
- The signed contract is on file.

For project finance with disbursement in tranches, each tranche is released by Loan Operations against the construction progress certificate named in the decision.

10. Step 8: Communication to the customer

The customer receives the decision from the relationship manager within 15 business days of a complete file. The communication names the amount, term, collateral, conditions precedent and covenants. A decline is communicated with the main reason, as agreed with the credit analyst.

11. Incomplete files

If a file is not complete, the analysis may start only with an "incomplete" flag set in KreditPortal, and only with the approval of the Head of Credit Analysis. The missing items are listed on the flag. A decision taken on an incomplete file is valid for 30 days and lapses automatically if the missing documents do not arrive within that period. The case is then returned to Step 2 and must be resubmitted with a complete file.

12. Annual review

Existing exposures are reviewed in the intervals set by the Credit Policy. The review uses the same steps as a new request (documents, rating, memo with both votes, decision), but with the current total exposure as the basis and without a new contract unless conditions change.

13. Responsibilities and contacts

- Corporate Banking, Claudia Weber (Head of Corporate Banking): owner of Steps 1, 2 and 8; relationship managers Martin Scholz (Müller Maschinenbau GmbH, Schmidt Logistik GmbH) and Daniel Fischer (GreenPower Solutions GmbH).
- Credit Analysis, Stefan Krüger (Head of Credit Analysis): owner of Steps 3 to 5, approves "incomplete" flags, approver within his limit.
- Credit Analysis, Dr. Petra Hoffmann (Senior Credit Analyst): ratings, credit memos, Marktfolge vote.
- Loan Operations, Sabine Neumann (Head of Loan Operations): Step 7, contracts, collateral registration, conditions precedent, disbursement.
- Risk Management, Dr. Katrin Lorenz: risk sign-offs required by the Credit Policy in force at the date of the decision.
- Credit Committee, Jochen Richter (chair): decisions above the limit of the Head of Credit Analysis.
- Process questions: Credit Analysis via MainWiki, page "Kreditprozess".